Equity is the full value of the account being traded, or the amount of the account allocated to the strategy in question, and I discuss the ATR above (if you are not aware of what point value is, read up on it in Chapter 2). The denominator of this equation is the normal daily move in the instrument, should volatility remain on the same level. Note that if you are dealing with futures denominated in different currencies, this number must be converted to the same currency as the account equity; also remember that the point value is not always the same as the underlying amount of the contract. We can, of course, only buy whole contracts and not fractions of a contract, so the number is rounded down to make sure we err on the conservative side.

The magic value here is the figure 0.002, or 0.2%, which I refer to as our risk factor. This is a more or less arbitrary number and changing it can scale the risk of your strategy up or down very quickly. I suggest you experiment with the outcomes of simulations and find a risk factor that you are comfortable with. A lower number gives you lower returns and lower risk, while a higher number gives you higher risk and higher returns.

I use the ATR method for position sizing because it is the simplest to explain and does the job well enough. There are several similar approaches possible, all striving to adjust the size of the position to the expected price moves of the instrument so that you get a common risk basis. Another popular method is to use standard deviation instead of ATR. Note that if you use this approach, you need to calculate the standard deviation of the daily returns and not on the prices themselves.

Although I have always shied away from it myself, I know of futures hedge funds with excellent results that use only margin to equity as their position sizing and risk measurement. This is a different approach than using historical volatility estimations but aims to accomplish the same thing. The exchanges set the margins of each futures market based primarily on their view on volatility to minimise the risk of defaults by market participants. By trusting that the margins accurately reflect the risk of the instrument, you could use this as a basis, for example, always taking 0.5% margin to equity risk of each position, where equity represents your full account value. This method has always made me wary of the somewhat subjective part in the exchanges' decisions for setting the margin and the history of sudden and unexpected changes in margin requirements in some markets. It is also tricky to simulate results back in time because it can be hard to get hold of accurate historical data for margin requirements. Still, there are large funds using this concept with very strong results and so I won't write it off.